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Study Notes

Public Expenditure

Introduction

- Public finance deals with the question how the government raises its resources to meet its expenditure.
- It is concerned with the income and expenditure of the public authority.
- Therefore there are two main branches of public finance
  - ✓ Public revenue
  - ✓ Public expenditure
- Effect of taxation, government expenditure, public borrowing and deficit financing these constitutes the subject matter of public finance.

Public expenditure

- **Refers to** expenses which government disburses for its own maintenance, society, economy or helping the country.

- **Importance**
  - ✓ Can be used a lever to increase aggregate demand in the economy (Keynesian view) thus to pull economy out of recession.
  - ✓ Through variation in public expenditure, aggregate demand can be managed to check inflation
  - ✓ Can be used to improve income distribution
  - ✓ To Direct resources in the desired lines
  - ✓ Ro influence composition of national product

- **Objectives of Public expenditure**
  - ✓ Administration of law
  - ✓ Maintenance of police force
  - ✓ Maintenance of diplomats in foreign countries
  - ✓ Maintenance of army and provision of defence goods
  - ✓ Public administration
  - ✓ Servicing of public debt
  - ✓ Development of industries
  - ✓ Development of transport and communication
  - ✓ Provision of public health
  - ✓ Creation of social goods

- **Types of public expenditure**
  - ✓ **Revenue and capital Expenditure:** Revenue expenditure is current or consumption expenditure. It is of recurring type. Like expenditure on civil administration. Capital expenditure is incurred on building of durable assets. It is of non-recurring type.
  - ✓ **Development and non-development expenditure:** All those expenditure that promote economic growth come under development expenditure example expenditure on irrigation projects, capital formation, transport and communication etc.

on the other hand expenditure on civil administration, interest on public debt etc. are under non-developmental category.
- ✓ **Transfer payments and expenditure on goods and services:** Transfer payments refers to those kinds of expenditure against which there is no corresponding transfer of real resources to the government, example, old age pension, unemployment allowance, sickness benefits etc. On the other hand expenditure incurred on buying of goods and services is non-transfer payments.

Two important theories of expenditure

Wagner's law of Increasing State Activity:
- ✓ This is given by Wagner, a German Economist,
- ✓ According to it, as an economy develops overtimes, the activities or functions of the government increases.
- ✓ New functions and activities are undertaken by the government and the old functions are also performed more thoroughly
- ✓ This expansion leads to increased expenditure

Wiseman-Peacock Hypothesis:
- ✓ It has been put forward by Wiseman and Peacock
- ✓ According to it, government expenditure doesn't increase at a steady rate but in jerks and step like manner

Factors responsible for government expenditure
- ✓ Defence
- ✓ Population growth and urbanization
- ✓ Activities of a welfare state
- ✓ Maintaining Economic Stability
- ✓ Economic growth and development
- ✓ Mounting Debt Service charges
- ✓ Mounting expenditure on subsidies
- ✓ Anti-poverty schemes

Effect of Public expenditure

- **On Production**
  - ✓ All kinds of expenditures are not productive
  - ✓ At the time of depression, in an industrialized developed economy, there is idle productive capacity and unemployed manpower. Under such circumstances, increase in government expenditure leads to manifold increase in income and employment through the process of multiplier.

- ✓ In developing countries like India, government expenditure on investment projects for capital formation will expand productive capacity and generate long-term economic growth.
- ✓ Public expenditure on research and development ensures progress in technology and thus raise productivity.
- ✓ Government expenditure on education helps in building human capital.
- ✓ However, government expenditure on unemployment allowance, old age pensions etc. are said to be adversely affecting the production.

- **On Distribution**
  - ✓ Government expenditure on social security schemes, subsidies, social infrastructure (education, health care etc.), anti-poverty schemes, labour intensive Industries etc. tends to redistribute income in favor of poors